

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to the
Interstate Transmission System**

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Docket No. RM26-4-000

**LS POWER’S COMMENTS ON THE PROPOSED
ADVANCE NOTICE OF PROPOSED RULEMAKING**

LS Power Development, LLC (“LS Power”, or the “Company”) responds to the Federal Energy Regulatory Commission’s (“Commission”) Notice Inviting Comments¹ on the Secretary of Energy’s October 23, 2025 Letter to the Commission, attaching a proposed Advance Notice of Proposed Rulemaking² for large load interconnections to the interstate transmission grid.

LS Power is a leading development, investment, and operating company focused on North American power and energy infrastructure. Founded in 1990, the Company has since raised more than \$75 billion in debt and equity to invest in electric power infrastructure and services. LS Power’s businesses across the energy industry include 21,000 megawatts of power generation from natural gas, wind, solar, utility-scale storage, coal, and both pumped storage and run of river hydro. The Company has also built, owned and/or operated distributed energy resource businesses, including demand response, energy efficiency, and electric vehicle charging infrastructure and services. LS Power is also a leading national competitive transmission owner with 780+ miles of high-voltage transmission completed across 21 transmission projects, including several operating

¹ See *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (filed Oct. 27, 2025).

² *Interconnection of Large Loads to the Interstate Transmission System*, Secretary of Energy's Letter re the Interconnection of Large Loads Pursuant to the Secretary's Authority under Section 403 of the Department of Energy Organization Act and Advance Notice of Proposed Rulemaking, Docket RM26-4-000 (filed Oct. 27, 2025) (“Proposed ANOPR”).

transmission utilities across five Regional Transmission Organizations and Independent System Operators that serve 27 U.S. states plus the District of Columbia, representing more than half of the U.S. population. These collective businesses have spanned the North American continent, with LS Power investing in more than 400 projects, across 40 U.S. states and four Canadian provinces, creating thousands of jobs and tax payments that support local communities, schools, and municipalities. We respectfully respond to the Secretary of Energy’s proposal with the voice of the entirety of our Company.

LS Power supports the intent and legal foundation reflected in the Secretary’s proposal to the Commission. As the Chair of the Commission has recognized, “[t]he electric transmission grid is the backbone of the American economy and essential to the national security of our country.”³ As such, data center load policy is a topic of national importance, and the explosive growth of artificial intelligence and data centers will significantly shape the energy industry in the decades to come. Thus, the integration of large loads into the nation’s energy and transmission landscape is an issue of national economic and security importance.

Given the breadth of LS Power’s businesses, our aim is to suggest a workable path for the Commission to achieve its priorities, while enabling the Company and its industry competitors to continue to deploy capital in a responsive and efficient manner. In doing so, LS Power is guided by its belief that fair, transparent, and competitive markets have facilitated and will continue to drive transmission grid reliability and energy supply sufficiency at least cost for all customers. As a decades-long electric power industry participant and investor, LS Power offers this set of LS

³ *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068 (2024) (Phillips, Chairman, Clements, Comm’r jointly concurring at P 1).

Power policy principles to assist the Commission as it considers the Proposed ANOPR and a potential Notice of Proposed Rulemaking.

**LS POWER’S SIXTEEN POLICY PRINCIPLES TO
ENHANCE THE INTEGRATION OF LARGE LOADS INTO
THE NATION’S ENERGY LANDSCAPE**

Principle 1: Consistent with the Administration’s directive,⁴ federal agencies should eliminate regulations and simplify existing regulatory burdens that harm American competitiveness. As a logical corollary, agencies should avoid creating new regulatory burdens.

Principle 2: The interconnection of new large load customers to the *interstate* transmission grid is a Commission-jurisdictional undertaking.⁵ The Proposed ANOPR correctly outlines the Commission’s exclusive jurisdiction over the interstate transmission grid.⁶ Although the ultimate energy consumption for new large load customers may implicate state retail service jurisdiction, it is clear under the Federal Power Act and U.S. Supreme Court precedent that the interconnection of large load customers to the interstate transmission grid is squarely within the Commission’s jurisdiction.

⁴ The White House, *Reducing Anti-Competitive Regulatory Barriers* (Apr. 9, 2025), <https://www.whitehouse.gov/presidential-actions/2025/04/reducing-anti-competitive-regulatory-barriers/>

⁵ *N.Y. v. FERC*, 535 U.S. 1 (2002); *Pub. Util. Comm’n of R.I. vs. Attleboro Steam & Elec. Co.*, 273 U.S. 83, 89 (1927); *Mandatory Reliability Standards for the Bulk-Power System*, Order No. 693, 118 FERC ¶ 61,218 (2007); *Revisions to Electric Reliability Organization Definition of Bulk Electric System*, Order No. 743, 133 FERC ¶ 61,150 (2010).

⁶ *See, e.g.*, Comments of LS Power Grid, LLC in Response to the Commission’s Advance Notice of Proposed Rulemaking, RM21-17-000 (filed Oct. 12, 2021) at 10, 41, 45-46, 49-60, 112-119.

Principle 3: In exercising its exclusive jurisdiction over the interstate transmission grid, including the interconnection of large loads or generation resources to serve those loads, Commission policies should encourage early coordination with state public service commissions and other relevant state bodies. States maintain oversight of retail electric service and siting for both needed transmission and generation, as well as the siting of the new large loads seeking accelerated entry. Early coordination within Commission jurisdictional transmission planning and interconnection processes will prevent overlapping or inconsistent state level activities and promote regulatory consistency, enhancing economic efficiency allowing all market participants to meet the energy infrastructure needs facing the nation due to growing large load demands.

Principle 4: The Commission should continue to rely on competitive markets – both in generation and transmission planning and development – to incentivize efficient generation and transmission investment, to ensure cost discipline and schedule accountability, and to unleash innovation going forward. Competition remains a necessary and important component of solving complex energy problems.

Principle 5: The Commission should integrate new large loads into the Commission-jurisdictional transmission grid through revisions to existing regional transmission planning and transmission interconnection frameworks rather than establishing additional *ad hoc*, piecemeal processes solely for large-load interconnections. The Commission should focus on improving coordination among the states, regional transmission planning entities, consumers, and large load and generation transmission interconnection customers through revisions to existing interconnection processes. This will facilitate economic efficiency through expedited processes with well-designed parameters for large load customers, including those that bring their own generation.

Principle 6: New large load must be well-defined. The Commission must define it clearly, based on an agreed upon standard, such as whether new large load would have a significant impact to the transmission and energy supply system or based upon load megawatts.

Principle 7: It is critically important for the Commission to incent large load to bring its own generation (referred to in the Proposed ANOPR as “hybrid facilities”), and we urge the Commission to craft final rules with this in mind.

Principle 8: Large load interconnection rules should provide an expedited process for generation paired with co-located new large load. In order to qualify for expedited interconnection consideration, the large load must bring generation that matches its maximum capacity and energy needs. In those markets where generation receives accreditation that may vary from its nameplate rating, the accredited capacity assigned to the supply must be sufficient to match the size of the new large load seeking accelerated interconnection approval.

Further, for flexible large loads or hybrid facilities, *i.e.*, curtailable, the rules should provide for integrating that flexibility into the interconnection commitments, to expedite interconnection by avoiding or deferring transmission system upgrades. Hybrid facilities interconnecting on an expedited basis (deferred transmission upgrades) can be fully curtailable. If associated generation is not providing sufficient energy for its load, then the load cannot look to the grid for its energy and if load is less than the generation supply, the generation may not come onto the grid (other than emergency dispatch). In those cases, it is also critical that the relevant regional energy markets send the appropriate price signal to indicate scarcity of supply resources such that the curtailment of flexible large loads cannot be used to undermine competitive energy market pricing by failing to reflect curtailable load in resource adequacy planning. The organized markets have found a way to value flexible service. Existing demand response frameworks from organized

markets provide a strong framework for managing flexible load, and lessons from demand response frameworks in organized markets can be applied to integrate flexibility into large load interconnection agreements.

Principle 9: When a new large load requires system or network upgrades, the new large load customer should bear ultimate cost responsibility consistent with cost causation and beneficiary pays principles.

Principle 10: Attracting the long-term capital needed to meet the infrastructure needs created by the surge in large-load demand requires that all infrastructure investments receive just and reasonable compensation, established to the maximum possible extent through independent planning and competition. For example, the Commission could allow the customer (below 100 kV) or regional planner (above 100 kV) flexibility and opportunity to evaluate on a not unduly discriminatory or preferential basis the selection of the owner of those transmission facilities. Given that the number of new or expanded transmission facilities is expected to be *substantial*, the Commission should ensure that existing transmission owners are not subject to the requirement of owning and maintaining those facilities absent just and reasonable compensation. To the extent that the Commission is considering a requirement that transmission owners own and maintain facilities to accommodate the interconnection of large loads, there must be an ability for it to recover its cost and earn a return on those facilities.

Principle 11: The existing generation interconnection frameworks should be used and improved upon to establish standardized *pro-forma* terms for large load interconnections. To the extent practicable, these terms should cover, *e.g.*, security, milestones, etc., and other mechanisms designed to protect consumers, eliminate undue discrimination, and ensure just and reasonable rates. Furthermore, there should be transparency with queues for large load interconnection to the

Commission jurisdictional transmission grid, similar to generation interconnection information that is published. The Commission has specifically found that existing, *pro-forma* Designated Entity Agreements developed through the transmission competitive processes offer superior accountability on project schedule and project cost oversight, and provisions from those superior oversight agreements related to cost and schedule could be incorporated into the large load interconnection *pro-forma* context.⁷

Principle 12: The Commission should require that hybrid facility (large load and associated matching generation) interconnections with the interstate transmission grid be studied together where they are anticipated to interconnect electrically close to each other. Coordinated study of load and supply ensures that transmission system upgrades are sized appropriately, are cost-effective, and are reflective of the combined impact of both interconnections and that any required resource adequacy analysis can be simultaneously undertaken. This approach complements the planning coordination objectives under Order Nos. 1000 and 1920, and the interconnection reforms of Order No. 2023, promoting a holistic view of system needs and avoiding inefficient or redundant infrastructure development. Operational requirements necessary to implement expedited interconnection, including operational constraints related to required studies are an important component in the study and must be developed.

Principle 13: Large-load interconnection policies should be consistent with existing energy supply competitive market and competitive transmission principles across regions. LS Power maintains that competitive markets have been and still are the most efficient and cost-effective way to: (1) incent investment in electric power supply and capacity, (2) generate that electric power, and (3) deliver that electric power to American homes and businesses through the

⁷ *Am. Mun. Power, Inc. v. PJM Interconnection, L.L.C.*, 188 FERC ¶ 61,055 (2024).

Commission jurisdictional transmission system. Therefore, it stands to reason that competitive market principles should be integrated into the large load interconnection process, so that the market can continue to send price signals consistent with the cost to build new generation and transmission.

Principle 14: Any final large load interconnection rules should recognize and prioritize economic efficiency for newly interconnecting and existing transmission customers on the interstate transmission system. The Commission should allow and encourage competition for the infrastructure additions identified through the large load interconnection process and focus on reducing the costs of interconnection for both load, generation, and consumers. While the states, not the Commission, have jurisdiction over retail rates, such an approach can address and even mitigate concerns around consumer affordability.

Principle 15: The Commission must ensure that regional planners align their Resource Adequacy analyses of large load and hybrid facilities interconnections with regional transmission planning assumptions.

Principle 16: Large-load interconnection should be integrated into existing planning and study processes for generation interconnection. Large-load integration should be handled within the same coordinated regional planning and study framework used for generation and reliability. This approach allows all transmission users to be evaluated under consistent assumptions and timelines, ensures efficient buildout, and helps maintain system reliability. Robust regional planning is necessary for transmission 100kV and above. Large loads often drive substantial network changes that extend beyond the immediate point of interconnection. These network additions impact the entire regional grid and should be addressed through independent regional planning employing competitive principles, and applying beneficiary pays principles as appropriate.

LS POWER COMMENTS ON SPECIFIC DOE ANOPR PRINCIPLES (BASED ON LS POWER POLICY PRINCIPLES REGARDING THE INTEGRATION OF LARGE LOADS INTO THE NATION’S ENERGY LANDSCAPE) AND SPECIFIC LS POWER RECOMMENDATIONS ON THE SCOPE OF REQUESTED FUTURE COMMENTS

DOE Proposed ANOPR Principle No.	DOE ANOPR Proposed Principle	LS Power Reaction to and Addition to Proposed ANOPR Principle
ANOPR Principle 1 (paragraph 18)	First, to avoid <i>even arguably</i> affecting the States' jurisdiction over generation facilities, facilities used in local distribution or only for the transmission of electric energy in intrastate commerce, or transmissions consumed by the transmitter, the Commission's jurisdiction should be limited to interconnections directly to transmission facilities, consistent with the Commission's seven-factor test. (footnotes omitted)	Agree (LS Power Principle 2). Footnote 6 of these comments provides reference to extensive past briefing by LS Power related to the Commission’s exclusive jurisdiction over the interstate transmission system and the seven-factor test for determining the division between Commission jurisdictional interstate transmission and the distribution system. As a matter of coordination, the Commission should also seek comment on how to encourage coordination with state commissions or other relevant state agencies, even though the Commission has exclusive jurisdiction over the interstate transmission grid. States maintain oversight of retail service, as well as generation and transmission siting, and early coordination will prevent overlap and promote consistency (LS Power Principles 1 and 3).
ANOPR Principle 2 (paragraph 19)	Second, consistent with the Commission's <i>pro forma</i> LGIP and LGIA, the reforms should only apply to new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW. We seek comment on alternative thresholds, including whether such a threshold is necessary at all.	Agree with direction, but Principle needs further development. Although LS Power acknowledges that this approach is consistent with Commission’s <i>pro forma</i> LGIP and LGIA, LS Power supports a robust comment period on alternative “large load” thresholds (LS Power Principle 6). We agree with the need to develop a definition of large load and would

		recommend that it be defined based on an agreed upon standard, such as whether load would have a significant impact on the transmission grid and whether such a definition may have regional variations warranted based on identified criteria. The comment period should also allow for comment on defining the impact to system in the context of clarifying the large load definition. The Commission should also seek comment on the definition and scope of “new” in the context of new large load.
ANOPR Principle 3 (paragraph 20)	Third, to the extent practicable, load and hybrid facilities should be studied together with generating facilities. Such an approach will allow for efficient siting of loads and generating facilities and thereby minimize the need for costly network upgrades. For example, siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.	Agree with direction, but Principle needs further development. In addition, the Commission should seek comment on how generation must match load and how and whether supply accreditation methodologies should apply rather than the generator’s installed capacity rating (LS Power Principle 8).
ANOPR Principle 4 (paragraph 21)	Fourth, like generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties. These provisions deter speculative projects and provide transmission providers with more useful information to more accurately forecast demand on their systems. We seek comment on the extent to which the existing study deposits, readiness requirements, and withdrawal penalties can be adopted. We also seek comment on whether additional commitments or financial penalties would be appropriate.	Agree with direction, but Principle needs further development. The Commission should establish standardized, <i>pro-forma</i> terms for large load interconnection using the existing generation interconnection process as the basis, to the extent practicable (LS Power Principle 5). These security requirements, milestones, etc. are examples of productive standardization efforts that will mitigate stranded asset risks and thereby protect consumers. The Commission has specifically found that existing, <i>pro-forma</i> Designated Entity Agreements developed through the transmission competitive processes offer superior accountability on project schedule and project cost oversight, and the Commission should seek comments on how provisions

		from those superior oversight agreements related to cost and schedule could be incorporated into the large load interconnection pro forma agreements (LS Power Principle 11). In addition, the Commission should seek comment on how to best integrate large-load interconnections into existing regional planning processes. Large-load interconnections should be handled with the same regional planning and study frameworks used for coordinated regional planning and study framework used for generation and reliability (LS Power Principles 11, 12 and 16). The Commission should seek comment on how all transmission users can be evaluated under consistent assumptions and timelines, with appropriate or standardized transparency in the process.
ANOPR Principle 5 (paragraph 22)	Fifth, hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested. For example, a hybrid facility consisting of a 500MW load and a 600MW generating facility may seek no withdrawal rights and 100MW of injection rights. This provides incentives for co-location with new generation facilities and ensures efficient buildout of the transmission system. (footnote omitted)	Agree. In addition, the Commission should seek comment on how to create an approach that incents large load to bring its own generation (LS Power Principle 7).
ANOPR Paragraph 6 (paragraph 23)	Sixth, any hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights. We seek comment on whether other operational limitations should be considered. We also seek comment on the minimum technical requirements for such system protection facilities, whether a hybrid interconnection customer should be subject to penalties for unauthorized injections or withdrawals, how any such penalties should be designed, and how such penalties should be allocated to other transmission customers.	Agree. In addition, the Commission should seek comment on how to integrate hybrid resources into regional markets in a manner that does not undermine the generation market design in sending efficient price signals (LS Power Principles 4 and 13).

ANOPR Principle 7 (paragraph 24)	Seventh, the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. The system operator's ability to control such facilities through curtailment and/or dispatch must be sufficient for the system operator to integrate the facility into both operations and system planning. This ensures the timely and orderly addition of large loads to the transmission system in a safe, reliable, and non-discriminatory manner. We seek comment on whether this should be accomplished through a serial interconnection study process or by some other means. We also seek comment on appropriate deadlines for such an expedited study process, including whether such studies can be completed in 60 days.	Agree with direction, but Principle needs further development. The Commission should seek further comment on criteria for expedited treatment, such as when large loads are matched with sufficient new generation to address the load's energy and capacity needs at or near the same point of interconnection (LS Power Principle 8). The Commission should also seek comment on requirements for how the large load study is incorporated into regional planning process (LS Power Principle 16). The Commission should also create rules to prevent the curtailment of large loads from undermining competitive price signals in the energy markets (LS Power Principle 8).
ANOPR Principle 8 (paragraph 25)	Eighth, load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies. We seek comment on whether such costs should be offset through a crediting mechanism and, if so, over how many years. (footnote omitted)	This principle requires further development. Consistent with LS Power Principle 9, when a new large load requires system or network upgrades, the new large load customer should bear ultimate cost responsibility consistent with cost causation and beneficiary pays principles. The Commission should seek additional comment on whether there should be a corresponding right for the interconnecting customer to retain and utilize the incremental system headroom it has created for a period equal to the period allowed for generation to fully utilize capacity created on the system through generator system upgrades.

ANOPR Principle 9 (paragraph 26)	Ninth, to the extent the interconnection customer is not the transmission owner, the interconnection customer shall be afforded the same (or equivalent) option to build as currently provided to generator interconnection customers.	Agree as allowing competitive options are necessary component of cost-effective planning (LS Power Principle 4). In addition, the Commission should seek comment on considering additional ways to manage or reduce interconnection costs overall. For example, consistent with the Commission's prior determinations on facilities constituting the interstate bulk power system (Order Nos. 693, 743) transmission system changes driven by large load interconnection above 100kV should be regionally planned through independent regional planning. Further, to ensure cost and development timeline competitiveness for interconnection customers the Commission could subject any significant network changes to cost saving competitive processes. The Commission should seek comment on whether the network upgrades identified through existing interconnection procedures and contemplated large load interconnection procedures should continue to be excluded from the Commission's mandated removal of incumbent development preferences or how paying interconnection customers could be afforded the flexibility to assign or compete to qualified transmission developers any option to build or own their interconnection facilities (LS Power Principles 13 and 14). Finally, the Commission should ask for comments on recent legal precedent. In <i>Ameren Services Co. v. FERC</i> (2018), the D.C. Circuit ruled that denying a return on assets that utilities are obligated to own and
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		maintain undermines the capital attraction principles established in <i>Hope</i> and <i>Bluefield</i> . The Commission should seek comment on how this legal precedent applies in this context and ensure any large load interconnection policy will preserve investment incentives for both utilities and independent transmission developers. (LS Power Principle 10)
ANOPR Principle 10 (paragraph 27)	Tenth, an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource (SSR)/reliability must run (RMR) type study. The study must consider system conditions, including forecasted load growth, at least three years after the proposed suspension date. The partial suspension can only proceed after any network upgrades needed to ensure reliability are placed into service. Any such network upgrades shall be the responsibility of the generating facility. We invite comments on whether and how resource adequacy should be considered in the SSRIRMR type study.	Disagree. LS Power does not support this principle and supports the EPSA position on this principle. EPSA rejects the underlying premise that existing generation that is moved behind the meter to serve data center load is akin to a partial suspension or otherwise warrants RMR/SSR type analysis for deactivating resources. Such resources could still be serving the grid, depending on whether and how the load is connected, and the nature of the flexibility of the load. Any analysis of such arrangements <i>should not</i> assess resource adequacy issues which even fall outside the scope of ISO/RTO deactivation analyses. Any reliability assessment for co-located or hybrid arrangements must be limited to whether and how the proposed new load can be reliably and safely interconnected to the grid. As an example, PJM's Necessary Study process engages in such an assessment. To introduce resource adequacy as a consideration in determining whether and at what cost to interconnect new large load would necessarily discriminate against that new load and existing generators. Under fundamental open access principles, there can be no such differentiated treatment between new

		and existing load or between new and existing generation. In addition, the Commission should seek comment on ensuring that resource adequacy analysis is aligned with the regional transmission planning process and avoid reliance on transmission reliability mechanisms such as RMRs (LS Power principle 15).
ANOPR Principle 11 (paragraph 28)	Eleventh, utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load.	Agree.
ANOPR Principle 12 (paragraph 29)	Twelfth, utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak demand, without consideration of any co-located generation. Any co-located generating facilities will similarly be fully compensated for the provision of ancillary services.	Agree.
ANOPR Principle 13 (paragraph 30)	Thirteenth, there must be a plan to implement these proposed reforms. We seek comment on appropriate transition plans, including the treatment of large load interconnections that are already being studied for interconnection.	Agree.
ANOPR Principle 14 (paragraph 31)	Fourteenth, utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions. Utilities and we must be prepared to revise large load interconnection procedures and agreements, as necessary. NERC should review its reliability standards to determine if new registration categories or new or modified reliability standards are required to ensure reliability of the BES.	Agree. LS Power supports this requirement. The Commission should seek additional comment on how to maintain reliability through Order No. 1000/1920 planning region integration of large load interconnections, and avoid duplication of approaches. Reliability must remain central and large-load interconnections studied or built outside the regional planning process could reduce system visibility, transparency, and complicate NERC

		compliance. Integrating large load projects within existing Order No. 1000/1920 planning processes best ensures consistent modelling, coordinated protection schemes, and situational awareness for operators. (LS Power Principle 12).
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November 21, 2025

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